IS THE MARKET ACTUALLY CRASHING?!

Podcast: Market huddle

AI Executive Summary

1. Core Thesis: The market is experiencing a severe sell-off concentrated in the AI and semiconductor sectors, driven by a "pricing for perfection" correction following election volatility and supply constraint narratives flipping from bullish to bearish. While broad market fear is muted (VIX < 25), sector-specific volatility is at historic highs, with NASDAQ hitting a six-month low. Amidst this turmoil, geopolitical risks regarding US-Iran relations are suppressing oil prices due to an anticipated political resolution of the war, yet analysts warn that supply-side SPR depletion suggests long-term demand will increase. The speakers advise caution on leveraged positions while acknowledging potential financial accident risks in rates and gold.

2. Key Arguments & Data:

3. **Market Performance:** S&P 500 dropped nearly 350 points (biggest intraday decline since Liberation Day); Core Weave down 12%; Semiconductor index (SMH) down ~30% in the last 29 days; NASDAQ broke a six-month low after topping formation.
4. **Technical Patterns:** "Prairie Dog" breakout on Nasdaq preceded a 30-day breakdown leading to new lows; S&P showed a "Turtle Head Formation"; Gold recently formed a Turtle pattern but may still be early in the move.
5. **Volatility Indices:** VIX at ~25 (low panic); Sector Volatility Index for SMH (SMHVX) spiked 64% to June/July levels; VXN (NASDAQ volatility) surpassed March and June peaks.
6. **AI & Tech:** Memory stocks down 14%; Power infrastructure ETF down 8-9%; Nuclear stocks correlated with AI basket but may offer sustainable recovery; Sentiment is extreme ("buy, buy, buy") before "valuation" arguments emerge (market trouble sign).
7. **Oil & Geopolitics:** Crude oil dropped 17.5-18% due to expectation of Trump/Democrat resolution with Iran (risk premium withdrawal); However, SPRs (Strategic Petroleum Reserves) are depleted globally (US/China refilling demand), potentially causing long-term price spikes; War re-escalation remains a live scenario per game theory.

8. **Interest Rates & Bonds:** Fed hiking probability dropped to 65% from 70%; Bond markets initially unreactive to energy shock but likely to pivot to rate cuts; 10-year/30-year curves may invert during financial accidents; TLT positions held as hedge despite short equities.
9. **Credit & Commodities:** Corporate bonds rallying, Junk bonds (Triple Bs vs Triple Cs) spread widening; Private Equity/BDCs holding up; Copper Commitment of Traders reset to 20th percentile before breakdown; Natural Gas "Widowmaker" extreme shorts (Zero percentile short positions).

10. **Portfolio Strategy:** Net short stock position allows for risk mitigation via other assets; Gold may act as a real asset hedge in risk-off scenarios despite being offered on risk-on days.

11. Actionable Takeaways:

12. **Risk Management:** Use protection strategies to mitigate the recent intraday chaos; assume market instability is temporary but severe enough to warrant hedging (options/convexity).
13. **Sector Selection:** Avoid leveraging heavily in semiconductor and memory sectors currently due to extreme selling pressure; consider long nuclear pairs against short DRAM if AI recovery occurs.
14. **Commodity Exposure:** Exercise extreme caution on "Widowmaker" plays like Natural Gas futures (Jan Winter Contract); Watch for sudden snapbacks rather than buying the dip.
15. **Geopolitical Awareness:** Monitor oil prices closely as a proxy for war resolution risks; expect long-term demand from global SPR refilling to outweigh short-term drops.
16. **Interest Rate Positioning:** Expect Fed pivot eventually (rate cuts), but curve inversion might occur first; Consider TLT 10-year positions before the market crashes further, then rotate to front-end rates if financial accident occurs.

Full Transcript

Hit it. It's Thursday, November 5th, 2026, Episode 304 on Patrick Ceresna. And I'm Kevin Muir. This week, it's a special talking charts only with our resident crayon chur, reading the squiggles for us all. But before we start, Patrick, you mentioned you have an options master class next week. What's that all about? Right. And before we start, I just wanted to give this a quick plug. Next.

Tuesday, November 10th at 4pm Eastern, I'm going to be starting part one of a four part series of an options masterclass. The first session takes apart the Pelosi trades. Everyone always wants to know what they bought. But to me, what's more interesting is the question is why they used options and why they clearly had the money. when they had the money to buy the shares, would they use these options? So I'm gonna rebuild the trades live in a simulator, compare them to simply owning the shares and really kind of assess the risk of the trades and what would happen if they were wrong. So it's a free, no pitch and I'll be answering questions live so you can register and it'll cover the whole four part series. The registration is at bigpaturetrading.com or click on the description below.

All right, Kevin, why don't you give us a disclaimer, buddy, so we can talk some of these crazy charts. Nothing in this podcast should be viewed as investment advice. Listeners should consult an investment professional before making any decisions regarding topics mentioned in the show. Side effects of too much huddle may include the blue wave whiplash syndrome, the AI infrastructure backlash disorder, and the core wave balance sheet anxiety. All nasty nasty side effects. All right. Let's let's get to these charts. All right, Kev, you know, I'm watching here where 300 s and p points down almost. Yeah, we're recording this Thursday at lunchtime. Exactly Thursday lunchtime. And I decided I'm going to drink this beer is called here the silent sirens. Here's the silence.

hear the silence here the sirens. But you know what, we got to talk these markets, because things have gotten spicy. And what was crazy was the extraordinary pop and drop that we had from the election results. The first

reaction was down. Then by the end of the day, we're up like 140 points back above the 50 day moving average. And then today, the AI stocks just had their feet kicked out from underneath it. So this absolute whipsaw is is causing all sorts of turmoil. We got to dive in while S&Ps down three and a half points and it looks ugly. The really ugly chart is the NASDAQ. The NASDAQ has now broken to a six month low. It's been it went through a substantial topping formation from May through October, even did an infamous prairie dog we actually talked about this prairie dog when that when the Nasdaq was up there it's a noble animal noble animal noble animal the greatest technical you know signal out there the prairie it is it is and and after breaking out this breakdown in the Nasdaq since that October high has now been 30 days of selling down 15%. We're literally a stone throw away from the 20% bear market label, which I don't really subscribe to that. But that's just a bunch of quads like to use that as their definition of bear markets. But the fact that we broke to lower lows is the crazy part. What I want to focus on is where is that chaos? And that's the semiconductor index. Look at this down 10%, almost 10% today at its low. But after that high in October, we have basically seen the semiconductor index slammed 30% in the last 29 days. Wow. Right. A 30% hammering on the downside. You know, and, and so like when you take something like a three times leveraged semiconductor ETF, somebody who owned this thing back in June has been hammered 86% from the high.

And by the way, Patrick, the sentiment the whole way down is being like just buy, buy, buy, buy, right? And they were like Bitcoiners. Bitcoiners. And not only that, when you suggested that it wasn't going as well as you said, they told you that you didn't understand the trade and that you would figure it out and there's going to be seven, nine, whatever a trillion dollars of spending. The number one sign. that a market's about to get foobard is when people come online and start talking valuations. Look at these peg ratios, look at this and this, you know, you hear everyone starting to justify why why this is an amazing value opportunity. When when when you they're pulling that shit out of their out of their little reasons to own it, you know, the market is in big trouble. But like this is a very, very ugly shellacking in this. What's crazy is that when we look across the entire kind of AI space, core weave down another 12% today, the data center and digital infrastructure, not as bad down about 4% and just starting to make

lower lows. But look at the neoclouds. The irony about the neocloud ETF is that they literally put this ETF out at the peak.

That never happens. So that never happens down 60% in 84 days off of that, right? It you know, it's very reminiscent of when they created the ADR for SK hynix hynix. Yeah. And literally, it marked the exact top of the stock when when they threw it out stories all this time. Yeah, but another one like this is the AI super cycle down 12% today the memory stocks just absolutely getting slaughtered down 14% today the the power infrastructure ETF down 8 almost 9% and even the nuclear stocks down. 5%, you know, what's amazing to me is like, I love tracking commodities. And I love looking at all the different commodity stuff. And I'm fascinated by how much this nuclear commodity trade got basket with the AI's, like it, like, it is not being traded like a commodity cycles kind of trade, like, literally, it's part of the AI basket.

It's part of the AI basket. And and just absolutely brings it goes down as well. You know, I was actually even thinking about like the idea of of fading this by pairing the long nuclear against the short like DRAM, like just just playing the idea that the nucleus are going to be fine in the end because there with that build out is still going to happen. But they're just right now that that paired selling or the correlated selling is happening. But I think that the recovery is much more sustainable in the nuclear space than it is the other ones. And so that's just an idea that I was floating around. Nonetheless, it's a blood bath out there like we're we're down almost 300 points. This is the biggest one day drawdown on an intraday basis that we had all year.

Like, actually, I would argue, you know, like, when was the last time we had a 300 point down day shit? Like, you have to go back to liberation day. Yeah, maybe you do. Yeah, it's I think you have to go to liberation data for 300 point down the NAS crack is, you know, 1600 points right now. Yeah, no, no, like a five 1600 point. Yeah, that's, that's the definition of a shellacking for sure, buddy. And And so nonetheless, markets are down. Now VIX is at the 25 handle, but I'm surprised we didn't see yet. Well, I'm not totally surprised actually, because the S&P is not where the shit show. Yeah, let's be honest. Let's let's remember here that the VIX is based upon

the S&P 500. And although today, we're down 300 points, it sounds scary. But in reality, it's three and a half percent or something like that. And Patrick, one of the things is that yesterday, even we were up and, you know, we've talked about this before, but yesterday, the S&P 500 was what? 2%, 3% from the all time highs? Yeah. The market was remarkably well behaved till today. This is the first day of any fear. So from a VIX perspective, it makes sense that we're not really panicking. VIX at 25, but look at this. This is the VIX of the semiconductor, the SMH up to 64% back to where it was back in June, July. What is that? How do I get that? What's the SMH? VX SMH. So the SMH ETF, but you just add VX in front of it. Really? I didn't even know. Yeah. So like, you can see huge spike here, and then you could look at the VIX N, which VX N.

And that's the the volatility index for the NASDAQ 100 and And you can see actually a much more meaningful jump One that we've now surpassed the March and the June of all peaks and so so when you actually go into the tech space the balls there like there's definitely some capitulation going on in that basket The VXN you're saying for the NASDAQ Right. And so your argument is that yes, although there's no there's no real panic and spooze Vicks, there's all sorts of panic when it comes to these where the epicenter of the selling and the epicenter is the AI story blew up. It's a there's no there's no one at this point that can deny and you know, it's amazing I'm not going to call out the people but there's no shortage of those those people on on x that were like this is amazing buy on dip opportunity and and they're they're leaning on all of this valuations and all this stuff and and you just the moment I hear that I've I've I remember during numerous market massacres like I I'm I've been trading almost as long as you. I don't have as much gray hair or you have hair still. So it's good. So like, I must have done though, let's be honest. No, no, this is my real color buddy. Yeah, it's shocking. I know. But but the I've seen enough of these and I know how the sentiment shifts because the first thing that happens is momentum and everyone's like, look, you just got to own it because that's where the money's being made.

But once the momentum fades, they have to come up with a shitload of stories as to why holding something that isn't working anymore is justifiable. And that's when you start hearing all sorts of stories. And when I see it's a market that is no longer working and everyone doing everything

they can to pump it, you know, it's fucking bad. I don't disagree. So, okay, so. Is there something you wanted to mention on this market? No, let's just keep going. Let's go through the charts. Listen, that pop and drop happened on the midterm elections, big sweep in the Democrats in the midterms that obviously was an event trigger. And like you were alluding to when we had conversations is that while it was a trigger, it was the fact that the market was unstable in the first place.

that allowed the trigger to actually have any meaning. Right. And let me just tell like one anecdote for this, right? A month or two ago, as the option adjusted credit or spreads for the bonds of the hyperscalers started blowing out, that was viewed as actually bullish for the AI trade because what that meant was that the supply of data centers of compute was going to be curtailed because it was getting more expensive. So wouldn't as much wouldn't be built, right? And so they viewed that as a positive because they said, oh, look, that means that these companies that do have it will be able to charge more because there's this infinite demand, right? So a month or two supply constraint on data centers was viewed as positive for the AI trade. Today, all of a sudden, you know, we have this blue wave, everyone says, hey, I don't want data centers in my backyard.

this constraint on data center built out is now the end of the world and is causing them to sell their stocks. Right. And I go back to this idea that the price doesn't, or so the narrative doesn't make the price. The price makes the narrative. And if we had a situation where stocks were going up as a result of this, then everyone would be sitting around going, yeah, it's going up because we're not going to build as many. But it's just, and to me, the reality is that these stocks were priced for perfection. There was so much good news, but baked in here. Everyone was too long. There was going to be a surprise to the downside. The only question is what was going to be the catalyst? Oftentimes, it's only obvious in hindsight, right? Like that's the thing. Like even the dot com bubble, Patrick, you know, we're, you know, 26 years since the popping of that bubble, and we still don't know what really truly caused the end of it.

Everyone has different theories. If you go talk to the old guys like me, everyone has their specific anecdote that was the point where everyone

realized but the reality was the stocks were just priced for perfection and all of a sudden we ran out of buyers. And that's that's all that's happening here. Right. So let's talk though the midterms being the trigger. And while obviously the markets have become the epicenter focus of what's happening because everyone's seeing the carnage happening. The one thing I want to highlight here is that a crude oil experience from Friday's highs to this morning's low, a 17.5% 18 drop in oil, right? Because now we had a democratic sweep and suddenly the pricing, the possibility that the US midterms results will force Trump to somehow move towards a resolution with Iran, giving This opportunity where geopolitical risk premium can be completely pulled out of crude oil Which I think remains an absurdity because because really in the end Iran's demands over the Strait of Hormuz may Fundamentally be incompatible With what the US can find politically acceptable. So this idea just because the the American voter clearly objected to the fact that this war was going on and clearly you know even the Democrats are now leaning into that saying that they want to end the war but the the thing here is is that it just may not be in any way feasible for the war to unwind. From a game theory perspective, I continue to view that Iran's position has actually improved, not worsened by these election results and other things. So why would they come to the table and give an immediate deal when global inventories have been depleted and even though the US is rejecting their demands, They now can wait it out They they know that that they have a situation idea that Trump would come in there and say oh the voters have spoken I clearly over by over stepped in this war and we got to accept the terms of Us unwinding this war and while the peace deal in three days. I call complete bullshit on that like there is there is literally uh that's an outlier and while maybe a re-escalation is a gamble like the idea that some missiles will fly as a guarantee or something there are definitely differently a number of very live scenarios that a re-escalation is uh is sort of almost like the path of least resistance of of the the way things are are moving. And, you know, can oil just go and pull out all the risk premium? Like there's a peace dividend in oil and everything's going to be all right. We can hold hands and sing kumbaya. Like what what's what's going on here? I am saying here that this and my call was this Kev. This is what the equivalent for oil of what liberation day was for stocks with tariffs. It was basically everybody was pricing in during the tariff period. This idea that that these tariff threats were some sort of

fundamental reality when they weren't and and they assumed all of the worst case scenarios of what those tariffs meant and And the outcome was completely opposite and that was a huge opportunity in the same way this idea that the the war is over and the risk premium can be pulled out of the market a to me is completely nonsensical, and that risk premium could very easily return in the same speed and magnitude of which it declined. This is Michael. I don't disagree with you, Patrick. I was telling you earlier that there's this fellow by the name of Robert Paype. He's a professor at one of the Ivy League schools, and he's been very vocal about his Game theory and how this this war would evolve and he's been spot on in a lot of ways and listen I don't agree with everything he says but I like to to listen to him because he's been right fairly often and he talks about this next eight weeks being the most dangerous point of This war of this conflict right and the reason being that you know, we're at the point before the Trump's change of power were both sides, you know, one side's increasingly desperate, you know, Trump wants to appease the voters, but at the same time, the other side might be asking for too much to your point. But, you know, I joke about that, that thing where there's that meme where it's like friends don't let friends drink and drive, you know, and the guy's taking the keys away from him at the bar.

I feel like that friends don't let friends trade geopolitics. And I guess we're not friends because you're like, like, let me just get the throne under the bus here, buddy. No, but so to me, though, I don't think you need geopolitics to be bullish oil at this point because the reality is that the surprise for the last year or the last six months is being. how resilient the oil market has been. And part of the reason the oil market is being so resilient is because the SPR, MP was way larger than everyone thought. And so it kept prices in check while we were having, you know, what they should have been a catastrophic closure of the Hormuz Strait and ended up being that it wasn't so bad because China and the US mostly just flooded the markets with barrels of oil. Now on the other side, that that's that's ending. There's only so much supply. There's only so much inventory that they have to sell. And then eventually what we're going to see is on the other side, there's a huge demand coming, right? Because those SPRs need to be refilled. What this has shown is that the world is actually a very unstable place and you need to have your own SPR. So it's not just the US and China that need to refill

theirs. It's countries like India that previously had a smaller SPR that looked at China and said, Hey, wait, we need to have a bigger one as well.

so they increase their SPR. So to me, like the longer term story is that we're going to be surprised at the kind of just sea of demand that's going to be on the other side of this once the SPRs are are finally empty. Yes, agreed. Agreed. And and and basically the interesting just one last thing is like, we saw a substantial pullback in in the refiners. And I'm just going to use the crack ETF, my one of my favorite symbols out there. But like the thing that you are a 16 year old boy at art, aren't you? Yeah, absolutely. But listen, they made it, they made it. So they've been pulling back. And like, like, they obviously was a huge bull market, we're getting almost almost a 50% retracement of the entire bull run. But Refined products remain an incredibly tight market and let's just imagine for one moment that oil actually doesn't recover fully and that it finds this 80 to 90 90 95 dollar level then Crack spreads are probably going to keep going wider and the profitability of these companies is probably only going to improve if oil doesn't have some face ripping rally. And so like I'm asking the question as to whether these refiners are a buy on dip here. I don't know. One of my worries is that I'm kind of a global economic bear. And so I could see demand for the products, you know, surprising to the downside as the global economy rolls over.

Okay, so that's that's to me. Yeah, I like I that's how I view that. Alright, so let's briefly touch on gold Gold bounced here driven by this Kind of a drop in oil. I think that this idea that inflation expectations Have are coming off from the fact that oil dropped and gold traders are clearly ambitiously trying to look at this from an inflection point that could be where gold turns around. I'd like to just simply say that I love the idea at a high level. But there's a lot of risks that this is early still. I didn't expect that. I recently wrote about it. I, you know, I was already long, but I went really long into this. Like, I'm going to say this, but I feel icky saying it. But your favorite You know, technical pattern after the, the prairie dog is the worst prairie dog. Yeah. The turtle, the turtle head formation. Yeah. Yeah. So, uh, to me, once it broke below that, there was every reason in the world for the selling to continue. And then all of a sudden the next day it's bid and it's back into the range. I'm like, that's like a dream set up. I love it. I think it's behaving

so well. Patrick, I'm going to, I know I'm always early. So like, I get it. Um, I'm probably early but I like it. Don't forget that during a number of the prior sell-offs in the broad markets.

Ultimately, when liquidity, people were getting margin called and seeking liquidity, there became the air pockets and gold still succumbed. And the way that I would almost say is like, I would feel like you should almost use a COVID bottom analog for what could probably happen, which is if they first risks a small washout, And then when it's clear that the Fed has to pivot because the economy is going into a recession and there's simply no way that we're going to be raising rates and their hawkish stance has to be neutralized. And a moment that pivot happens, then the only path of least resistance is going to be a rate cut cycle, printing money, and all of these different things. And in gold, it's going to be a wicked asset. But there's... Can I push back on that?

Yes, you're again using something that is pre 2022. It was before Russia invaded Ukraine and the West zeroed their balances. To me, I'm not as sure as you are that it is going to be as much of a risk off. Sorry. I'm not as sure as you are that gold will suffer in a in a severe risk off thing, right? Because I suspect it will be almost the opposite of the of the financial assets. It'll be viewed as something that's real. And it's, I think, to a little part of it, Patrick, you can also think about it as the US dollar. In the old days, when you had a risk off event, you bought US dollars, right? That was the knee jerk reaction. I think on that, like scenario this environment that's also changed I don't think that you're going to get a risk off event and you're going to get the US dollar bid and I think today is a perfect example right like this we finally have a risk off event and you would think that the dollar should be bid today instead it's offered and I think I know I'm looking really closely like this is just squiggles and it's noise I get it but you know Brent Johnson That's what I'm going to call you right now because you're channeling your inner Brent Johnson. You're just so convinced that this is how it always has to be. And I'm saying that the world has changed. And I think you could have a situation where stocks go down, US dollar goes down. So here's what I'm going to say. Okay. I would rather get in the second inning.

and miss the first leg and have you being right and I'll get in later. Okay. And to be the rock star here trying to catch this bottom while the market is getting its ass handed to it. I at minimum, I would say is that anyone who's taking Kevin's advice, I would look at the way and that's what I'm doing. So but but I'm just saying if it's advice or not advice, I would say is that this is maybe a unique opportunity to apply some convexity with some form of. Oh, I have no problem with that. I actually bought options as opposed to this. So if you're I'm wrong, yeah, if you're going to exactly so if you're going to play this early, when you're early, it's always the greatest risk of being wrong and early. And that's actually when paying for the convexity often has the best payoff structure. Hey, and is there a upcoming master seminar about this?

Why not? And maybe I'll hold it on November 10th at 4 p.m. at 4 p.m. I think I can't remember if you remember to say the time but I knew that Danny would be upset if you didn't say the time November 10th at 4 p.m. So Patrick I'm not gonna disagree with you that I might be wrong the other thing I just a quick little side note one of the things that people need to remember is that how what you're the rest of your portfolio looks like Also, it should influence your willingness to be able to buy these things, right? Yeah. So a perfect example is, um, uh, when was it? I guess it was earlier the last sell-off and like, uh, you know, three, six months ago, there was a point when bonds and stocks were selling off together, right? The bonds were going down, dragging stocks with it, right? And I had a buddy that was, I was trying the long side of the bond market every now and then. I was just giving it a whirl, right?

And I had a buddy that was doing it as well, right? And the thing about it was that I was short stocks, like I was net short stocks, right? And that's the other thing is that people don't realize that like when I'm saying I'm bearish, I'm just not like at not as long. I'm outright bearish. Like I'll trade more like Tudor and Soros did back in the 80s. But anyways, my point was that as I was trying the bonds trades, I was actually making money on my shorts. as the bond market went offered and I was losing there, I was still making money on my shorts. So the situation was, and my buddy was long stocks and then trying the bonds and I said, you're just adding to your risk. You're not actually reducing your risk. And so again, in this case, I am short stocks

right now and I've been for a while. So for me to buy gold is not as scary as somebody who's long gold.

And sorry, long equities and suffering from the liquidity as the kind of as things tighten up and as problems occur. That's a good it's a it's a good portfolio asset to have in your kind of a portfolio mix. Well, and you need to and you just need to remember that when you're listening to everyone, you need to realize and that's why nobody can give you advice about what you should do and what your sizes should be. It has to go into your entire book. So yes, you can say kev is a little more bullish than he usually is or patrick is waiting and you put that in there but ultimately it's always response you're responsible and you have to think about how it interacts with your entire book love it so so kev let's continue conversation copper and on the commitment to trader reports going back to september october we were at the hundredth percentile of bullish positioning on the a one year, three year and five year look back. Like everyone was all in on the copper trade. What was actually fascinating, even though this is technically fully rolled over, this looks like it's going to get swooshed on the downside. But what was interesting was that there was a material reset the long positioning without a breakdown like we got we got down where basically into a much more neutral state on the commitment of trader reports where typically that kind of extreme positioning could have become the fuel for that acceleration and and it really you know like I hear this is on a one-year look back copper basically is at the 20th percentile already. Like, like the 100th percentile was already kind of washed out. But that was before the breakdown. So that it doesn't have the same flows risk that it had a month ago on that. But with that said, this looks like a typical topping formation, lots of little prairie dog attempts along the high end to, to, uh, to kind of get the next bull leg started. And if we're seeing the AI story selling, then the data center needing copper has been a part of that basket. Right. And, uh, and we may very well see that some of the speculative positioning is going to get shaken out here. You and I just realized usually you're talking about copper. You don't say it anymore. Dr. Copper.

Yeah, the PhD in the economics like I don't have it does have a PhD in economics. I saw the document. It's definitely got the beach. But the let's move on. But anyway, online over here and I'm concerned. Okay, sorry. It's

rolled over and I'm concerned. That's all I just was saying. What I want to move on to is the blood bath of the widowmaker. What is that? Nat gas? Nat gas. This is this is the January winter contract. And, you know, I had this talking chart session with Chase back. Oh, my God was it's more than a month ago whenever it was earlier in September, October, whenever. When were you? When was he covering for you? October? I think it was September. September. Were you traveling? September? Yeah. Yeah. So so it was back in September. And, you know, it was near 4.

And he goes, I think but it's going to go down to three. I was like, good, no frickin way, dude. And like, you know what? Great call chase. That was like, it's he nailed this, this call. Like there's an abundance of knock gas. But again, it's it's actually quite insane. How this is remains an incredibly consensus view right like we remain Zero percentile in a one-year three-year five-year like the amount of shorts on a ten-year look back It's like we're literally at the one of the most extreme short positionings a gross shorts I mean where you have to go back to when crude oil was minus 40 back in 2020 to see a level of short positioning in that gas at this extreme. And it has all of the widowmaker shit written all over it. But anyone who's trying to buy this shit is having their asses handed to them. Like, it like, oh, well, we got to tell you the next we got to find out chase you had to tell us what you think buddy. Yeah, he's obviously the guru. He's the the net gas whisperer. Yeah, exactly. But at some point, There's gonna be some stupid little thing like a a polar vortex announcement some some kind of like And now whatever Announcement we're gonna be like, okay press release Press release of the polar Polar vortex Anyway, but the the point though is there's gotta there's so much room for there to be a trap here that's going to squeeze these but right now the price continues to reward short positioning so they've been massively short and just the payday has been coming in over and over again for them so far now but we've seen this this is why it's called the widowmaker that like this is one that it could be down at three and a quarter and then three days later be a five bucks oh yeah and Patrick We that just recent history go back to like 2010 or whatever it was like when was like the Brian Hunter type like when it went it went to it went to 20 bucks or something. Right? Yeah, like it was a yeah, 13 to 15 bucks. Yeah. Oh, four. Yeah. Like 10 bucks and back in 2022. 78 bucks back. I can tell you with that contract. When it's at 10 bucks, it becomes really big.

Oh, yeah, like when you're with that multiplier. That's yeah. Yeah. Yeah. I remember one time when it was at 10 bucks, just trading a one lot for six of the giggles and then going, holy shit. Look how much money I just lost. It's just like, I was like, holy shit. This thing is monstrous, right? Absolutely. Absolutely. Listen, we're we're gonna I want to keep this one a little bit shorter today. So but we do need to touch on interest rates and so far. What I was shocked yesterday was with an oil move the degree that we saw. Yeah, usually that implies some sort of a disinflationary impulse. And I would have thought there would have been a bigger response in anywhere in the bond market.

30 year, 10 year, two year, sofa, whatever. I thought there would be just something like a candle that looks like there was a political event. And I was shocked that at least as of yesterday, everything was within their five day ranges. There was almost little no reaction in the bond markets and rates markets to this. Today with the bloodbath, we're clearly seeing This is the December 2027 so for a little bit of an uptick here on on the upside that of this, you know, showing that maybe we're moving towards a Fed that isn't going to be able to hike because really this over contract has to get to like 96 in order for in order for it to just be neutralizing all of the rate hikes that are being baked in. Yeah, I was looking at it today, Patrick. I kind of was surprised that they still have a 70% chance of, oh, it's down to 65 now. But when I looked earlier with 70% chance of a December hike, like they're barely taking out the December hike.

Forget about like the potential if this really got unglued how they have to be cutting to me and like And I mean you've talked about the idea that we could go down to like what two or one percent one I think eventually if we have if if we have a financial accident We're going to 1% and I don't think we're ever going to zero again. I think they learned their lesson there We're never going to zero, but we're going but just just to give a reference point. That's a rally like That's, that's the 1% and here's your 2% levels. But again, that's a financial accident, right? That's not just things rolling over. But a financial accident tends to emerge during periods where a lot of people are losing money. And so while there's no guarantee of a financial accident, when we're seeing the kind of AI carnage that's out there right now, all of

that money that was flooding into financing all of this AI stuff, somebody is offside.

And, uh, and if, if something that was like, we need it, we need the broad market to get, to get tagged 20 plus percent further to be a true financial accident. So yeah, NASDAQ's gotten tagged 15%, but the most people are S and P 500. We need the spools or, you know, the Russell 3000 or something to be off 20 plus percent. Yeah. And, and even more. And then we're going to 1% and that's what I think. And we're going to be shocked at how quickly it occurs. Now. Here's the real question for you though, Patrick, is like, how do you play it? Do you just lever up the front end, assuming the Fed's going to do that? Or do you actually go out and buy some duration out the curve? Ultimately, this is how I think it's going to play out. If we go to get a financial, let's just assume that the selling continues and stocks way more than catches everyone off-guard and would keep it continues. I suspect that the curve would invert and the Fed would actually be slow.

to cut rates, right? If you remember back, you know, when was it, was it COVID that they were slow? I think that they were slow to cut rates in COVID, right? It was one of these situations where the economy, the curve was saying this and they were just, they couldn't, they weren't following the curve and cutting as aggressively as they wanted them to cut. And I suspect that will be the initial result, the initial reaction. So I could see a situation where in the initial like, let's say month or two of a financial accident, the the Fed is is behind the curve and the curve, uh, inverts, at which point you'd be better off with 10s or 30s and playing that, but that ultimately when the Fed responds, the curve will respond the other way and the Fed will overdo it. So that's my call. I think you could have I almost wonder if you should buy fives or tens for a financial accident and then very quickly switch them into the front end. Pear? Pear, you know what? It's funny, but the economist may have very well called the... Patrick, I'm an idiot. I should have just...

I was sitting around waiting for one more dip and like that's why I'm most confident that the bond market might actually be okay is because I didn't buy it and I was getting bullish and I was trying to do it and I got cute and

then that came out and I should have just closed my eyes and bought it because it was on the cover as you mentioned and I screwed up and I even now as I'm sitting here, I feel like I should own it and I don't. Which means it's going to keep going. Now, all the listeners now heard it. Like, listen, Kevin doesn't own it and you know what? And he wants I don't have enough of it either. I have some call options on the TLT. But, you know, I clearly do not have enough rates exposure at all. Yeah. Again, I listen, I'm so scared to do it. And I know when I do it, it'll roll over. So when I do it, everyone can sell it to me. So you should buy it now. Wait for me to capitulate and sell it to me, you know, 5 higher. Because that'll be the top of it.

All right. Well, you know what? I think actually, you know what? Let's quickly look at credit. You can see, you know, corporate bonds rallying very much like treasuries. Junk bonds, a much more muddled picture as credit spreads are widening in the thing. You can see a distinct breakdown in the senior loans ETF. On the downside you have and this is the interesting one the the private equity the BDC basket not really yet succumbing to any of this This kind of pressure in fact, you know, like you look here Owl actually, you know owl might be a clean short here That's a that's like a rolling over after a bounce, but like you can see like black stone off off of a Fibonacci retrace here is is rolling over. These are actually interesting potential ones, but you can see overall the credit markets have not broken yet. Parts of it don't have Patrick. So you're right. The like there's parts of it. But if you go look at like triple Bs versus triple Cs, that part is blown out there. And not only that, if you're sitting there and you're trying to fund, you know, your core, we've asked them how how good credit markets are right now.

Yeah, so I'll take a little bit the other side. No, but I'm just talking about on this broad ETF basis. Yeah, usually when you're in the middle of a shit storm, it the contagion spills over there. And you you'll see the pressure emerge on these ETFs. And that has not specifically come. Okay, nonetheless, I think we can wrap things there kept but I'll tell just leave listeners like look, You know, S and P's down more than 300 points. Just be safe out there. Everyone like, you know, don't, you know, use protection. There's no, you know, it's, it's, you know, you know, it's gotta be safe out

there. Thanks dad. And by the way, if you want to learn how to use protection, Patrick. Everyone already heard it. They're coming if they want. It's good.

No, but listen, thanks for that. But listen, Kev, working. I've already had the chance to plug in. We're going to find your stuff. Listen, Bear Margaret Bell, by the way, I'm just going to do a little plug here because Kev, your your shit that you've been writing recently has been some top notch stuff. And and I think that listeners who haven't given Kevin's newsletter a shot, you know, reach out to him and get a free copy of a recent letter. But like, I read it almost once a month or something like that. Doing so good. It was such a nice plug. And then it was very kind. You know, in fairness, I do. I do. I do peek in there to see what what what your core themes are. And it's been pretty awesome. So keep it up, buddy. It's a good job. Anyway, listen, everyone, this is just a talking charts only session. So thanks everyone for joining us. Any closing things? No, that's it. I'll let it go. Thanks, everyone. Have a great week. Stay safe. As Patrick says, use protection.

Cheers everyone.